

India: Domestic demand led increase in Manufacturing PMI in May; Input costs remain elevated

Bottom line: The seasonally adjusted HSBC India manufacturing purchasing managers' index (PMI) increased to a three-month high of 55.0 in May from 54.7 in April driven by the output index on resilient domestic demand. Panelists reported the fastest increase in new orders in the intermediate and the capital goods sector, while consumer goods witnessed a slowdown. However, the new export orders declined to a three-month low. Among the price-related sub-indices, the input price index edged down in May, but remained near four-year highs as the firms reported higher costs for energy, fuel, materials and transportation, with the capital goods sector seeing the highest input cost inflation. The output price index also edged down from its April highs.

Key numbers:

HSBC India manufacturing PMI: 55.0 in May vs. 54.7 in April

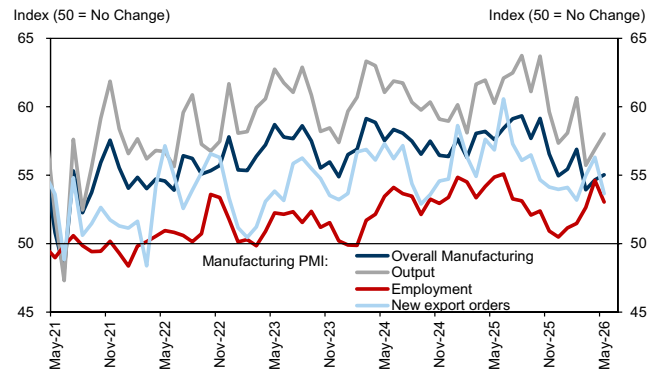
Main points:

- The seasonally adjusted HSBC India manufacturing purchasing managers' index (PMI) increased to a three-month high of 55.0 in May from 54.7 in April.
- Among the five major sub-indices, output increased to a three-month high of 58.0 in May from 56.9 in April. Firms surveyed reported that resilient demand supported sales and new business gains, with panelists reporting the fastest increase in the intermediate and the capital goods sector, while consumer goods witnessed a slowdown. However, the pace of increase in the new export orders declined to a three-month low of 53.7 from 56.3 in April. The employment index also declined from its April highs (Exhibit 1).
- Among the price-related sub-indices, the input price index edged down to 56.2 in May (vs. 56.4 in April), but remained near four-year highs. Firms reported higher costs for energy, fuel, materials and transportation, with the capital goods sector seeing the highest input cost inflation, while consumer goods witnessing the lowest. The output price index also edged down to 53.0 in May (vs. 53.8 in April) (Exhibit 2).

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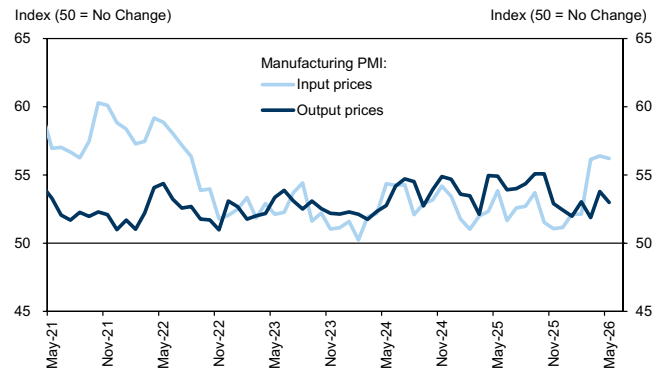
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Exhibit 1: Manufacturing PMI index edged up in May driven by domestic demand, while new export orders declined



Source: Haver Analytics, Goldman Sachs Global Investment Research

Exhibit 2: Both the input and the output price index declined from their April highs, but remain elevated



Source: Haver Analytics, Goldman Sachs Global Investment Research

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